

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

19th November 2020

Subject SA3 – General Insurance

Time allowed: 3 Hours 30 Minutes (14.30 - 18.00 Hours)

Total Marks: 100

INSTRUCTIONS TO THE CANDIDATES

1. *Please read the instructions to examinees sent along with hall ticket carefully and follow without exception.*
2. *The answers are expected to be India Specific application for the syllabus and corresponding core reading. However, substantially the core reading material is still taken from material supplied by Actuarial Education Company which is meant for UK Fellowship examination. The core reading also contains some material which is India Specific, mostly the IRDA regulation. In view of this, it should be noted that focal point of answers is expected to be India Specific application. However, if application specific to any other country is quoted in the answer the candidate should answer the question with reference to Indian environment.*
3. *Mark allocations are shown in brackets.*

Q.1) You are working for an established medium size general insurance company which has been in operation in India for many years. The major lines of business are Motor and Property. Motor line of business accounts for almost 75% of the total premium with remaining premium from Property line of business. In Motor, about half of the premium is from own damage and the remaining half is from third party liability. Property line comprises residential and small commercial establishments such as MSMEs and SMEs.

- i) Due to the Covid-19 pandemic and ensuing lockdown restrictions, the company has witnessed a decline in risk exposures related to changes in economic and social activity. The country had lockdowns at the nation level as also at the local/state level. The first nationwide lockdown had happened in March/April.

Your Chief Underwriter has forwarded a news item about US personal lines insurance market to you. The news article cites an estimate that US auto insurers responded to the pandemic by returning over USD 10 billion, in various means, to their customers nationwide, in response to reduced driving during the pandemic.

She would like to know from you an assessment of the benefit accrued to insurers, if any. She highlights the increasing trend in claims severity even though the claims frequency dropped significantly. She also added that the vehicles were still exposed to perils such as Fire, Theft and Flood which are covered under the motor comprehensive policy.

She would also like to know if there are other considerations to be made, apart from the claims experience, in order to make a complete and holistic assessment.

- a) Outline the areas in non-life insurance business that could give rise to potential benefits, if any, in this pandemic scenario. Highlight the key area likely to give rise to maximum potential benefit. (2)
- b) By briefly outlining the key factors to be ascertained prior to carrying out the assessment exercise, discuss in detail the assessments needed in each of the areas identified in (a) above to estimate the potential benefit, if any, that could accrue to the insurer. (10)
- c) Assuming that your exercise carried out in (b) above does indicate a net overall benefit, comment on the various ways in which the insurer can pass on/share the benefit with the policyholder. (3)
- d) Assuming that your exercise carried out in (b) above does indicate a net overall benefit, discuss the considerations that are likely to influence the insurer's decision of sharing the benefit with the policyholder. (9)
- e) In view of the 'new normal' and the altered insurance risk and business scenario pursuant to the outbreak, discuss if there are any reasons to revisit premiums and pricing models in Motor insurance. (8)
- ii) One of your colleagues, who has recently joined the general insurance industry, follows the financial markets closely.
 - a) Your colleague would like to know from you the requirements as per the extant IRDAI Regulations with respect to "risk margin/risk adjustment" and "discounting" of technical provisions for expired risks. State the requirements. (2)

Your colleague refers to the case reserving methodology of Motor TP claims according to which the case reserves amount being held towards any reported claim is the amount payable as on today. The amount payable as on today is the sum of the award amount and the amount of interest accrued till date.

Your colleague highlights that the amount paid during settlement in future could be greater than the provision held today since more interest would be accrued.

As a result, he has the following questions:

- Are the overall provisions for unpaid claims adequate?
- Are the provisions already discounted with respect to reported but outstanding claims?
- Under IFRS 17, should the discounting be performed only towards those claim payment projections which are attributable to unreported claims, and not the claim payment projections attributable to reported but outstanding claims?

b) Comment on these queries from your colleague, along with reasons. (3)

c) Your colleague would like to know from you as to why the concepts of Unearned Premium Reserve and Premium Deficiency Reserve are not present with the same name under IFRS17.

Outline how these concepts are addressed under IFRS 17. (4)

Your colleague highlights that the repo rates by Reserve Bank of India have reduced considerably from 6.25% in March 2019 to 4.40% in March 2020. It was further reduced to 4% in May 2020. He also highlights that equity markets are down since March 2020, but they have partially recovered in subsequent months.

A vast majority of Technical Provisions for expired risks in the Balance sheet of your company is with respect to Motor Third Party Liability. He read that liabilities for a general insurer are inflation sensitive.

d) In the context of above observations by your colleague, discuss the possible impact on the Motor Third Party Liability Technical Provisions under the current regulations as well as under IFRS 17.

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Q. 2) Owner of a large e-commerce business house has recently come across a report highlighting the promising returns general insurance business in India is expected to offer in the coming years. He has decided to enter the insurance market in the country by opening a general insurance company – New Age Insurance Co, of which he would be the appointed Chief Executive Officer (CEO). He has no prior experience of insurance and has engaged you as a consulting actuary for advice on certain matters.

i) Describe the factors to be considered when determining the initial capital requirement of a new general insurance company in India. (8)

ii) Stating the main objective of an insurer's investment strategy, outline both internal and external factors that shall influence the company's investment strategy. (5)

The proposed Chief Financial Officer (CFO) of New Age Insurance Co has commented on the current low level of the stock market and therefore suggested that they heavily invest in equities to gain from any future rise in markets.

- iii)** List any concerns that you may have with the CFO's suggestion. (3)

The CEO intends to recruit senior and experienced underwriters from the industry and make them fully responsible for pricing the risks they will write. He will rely solely on their judgement and not on a formal rating model built with actuarial input. The purpose of the actuarial department would be setting reserves and they shall not be involved in any kind of pricing activities for the company.

Defend the need for actuarial role in pricing activities by explaining the advantages of:

- iv)** Using an actuarial rating model for technical pricing of risks. (6)

- v)** Putting in place periodic rate monitoring reports. (4)

The typical business procurement model in the industry is based on sourcing business through a combination of traditional distribution channels and intermediaries like agents and brokers as well as through direct business from walk-ins, direct-selling and internet sales.

Given the huge customer base of his e-commerce platform, the CEO has devised a strategy to exclusively sell policies through the internet and not use any brokers or other traditional distribution channels. He therefore wants to know how this strategy would impact the various financial projections in the draft five-year business plan. He also expressed a concern that a pure online sales strategy could encourage fraudulent policyholder behaviour.

- vi)** Discuss in detail the potential impact of this sales strategy on the various financial projections and business volumes of New Age Insurance Co. [14]

- vii)** By drawing parallel to a risk management process, elaborate the measures that New Age Insurance Co can put in place to address, manage and minimise fraudulent policyholder activity. [9]

The CEO has requested for your views on the feasibility of not purchasing any reinsurance at all as opposed to whatever reinsurance arrangement has been initially built in the draft plan.

- viii)** Comment on the practicality and the impact of the 'zero-reinsurance' proposition made by the CEO. (3)

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